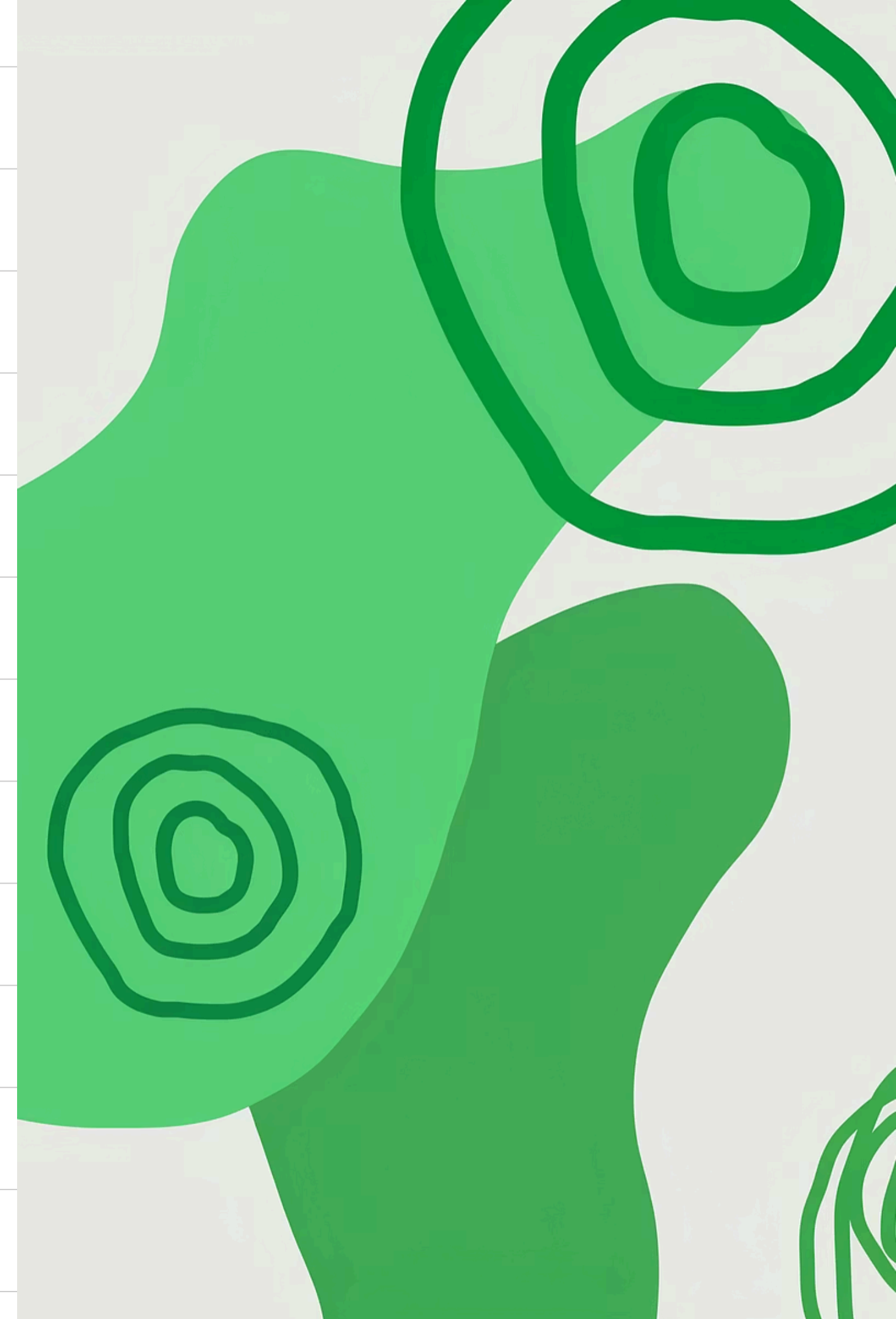


Name : Esha Aiman

What is the MOA and Why Are We Debating It?

The Memorandum of Association (MOA) is fundamentally the constitution of a company. It defines the company's relationship with the outside world and traditionally outlines the company's name, registered office province, liability of members, authorised capital, and its core business objectives.

With the introduction of the **Companies Act, 2017** in Pakistan, the strict rules surrounding what a company can and cannot do were significantly relaxed. Because of these legal relaxations, many legal and corporate professionals ask: *Has the MOA become just a formal checkbox rather than a vital corporate document?*



The Evolution of Corporate Law in Pakistan

The Old Regime (Companies Ordinance, 1984)

- Required an exhaustive, highly detailed "Object Clause"
- Companies were strictly bound by the **Doctrine of Ultra Vires** (meaning any action outside the explicitly stated objects in the MOA was legally void)
- Result: MOAs were dozens of pages long, trying to predict every possible future business activity

The Current Regime (Companies Act, 2017)

- Introduced a massive simplification: A company may engage in "**any lawful business**"
- The exhaustive Object Clause was replaced by a simple requirement to state the "**Principal Line of Business**"
- Result: The MOA is now highly streamlined, often relying on standardised templates provided by the SECP (Securities and Exchange Commission of Pakistan)

Why the MOA Feels Less Important Today

The Death of Strict *Ultra Vires*

Because a company is broadly authorised to conduct "any lawful business," contracts or actions are rarely struck down simply for falling outside a rigid list of objectives.

Ease of Modification

Changing the principal line of business is now a relatively straightforward administrative process, reducing the document's historical permanence.

Standardisation over Customisation

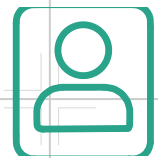
Start-ups and SMEs usually adopt the boilerplate MOA templates provided on the SECP's eServices portal without drafting custom clauses, treating it as a mere administrative hurdle for incorporation.

Shift to Articles of Association (AOA)

Corporate lawyers and founders now spend far more time negotiating the AOA (which governs internal rules, shareholder rights, and board powers) than the MOA.

Evolved, Not Obsolete

The MOA hasn't lost its importance; rather, its function has shifted from **restricting** business activities to **categorising** them. It is leaner and more practical for the modern economy.



The "Principal Line" Dictates the Name

Under SECP regulations, a company's name must reflect its Principal Line of Business as stated in the MOA. You cannot name a company "Tech Solutions" if its MOA says its principal business is agriculture.



Protecting Specialised Sectors

The "any lawful business" rule does **not** apply to regulated sectors. If a company wants to engage in banking, insurance, power generation, or non-banking finance, it *must* have those specific objects explicitly stated and approved in the MOA.



Shareholder and Creditor Clarity

It still serves its core purpose of informing investors and creditors exactly what primary sector their capital is being deployed into.